Investment Memo: Palantir Technologies Inc. (NYSE: PLTR)

Date: March 28, 2026
Analyst: Manus AI
Recommendation: HOLD
Current Price: ~$155.00 * *TargetPrice(DCFImplied) : **31.37
Implied Downside: -79.8%

Executive Summary

Palantir Technologies (NYSE: PLTR) is a leading provider of enterprise AI and data integration platforms, operating through two primary segments: Government (Gotham) and Commercial (Foundry, AIP). The company has demonstrated exceptional operational momentum, posting 56% year-over-year revenue growth in FY2025, driven largely by the explosive adoption of its Artificial Intelligence Platform (AIP) in the U.S. commercial sector [1]. Furthermore, Palantir has achieved a "Rule of 40" score of 127%, reflecting best-in-class growth and profitability metrics among enterprise software peers [1].

However, despite flawless execution and a fortress balance sheet with zero long-term debt and $7.2billionincash[1], thestockispricedforabsoluteperfection.Tradingatapproximately70xEV/Revenueand246xtrailingP/E, t$ 31 per share, indicating that the stock is significantly overvalued relative to its fundamental cash-generating capacity. Consequently, we initiate coverage with a **HOLD** recommendation, advising investors to wait for a more favorable entry point or structural valuation reset before allocating fresh capital.

Business Overview & Product Ecosystem

Palantir operates a unique business model that bridges the gap between highly classified government intelligence operations and complex commercial enterprise workflows. The company's moat is built on high switching costs, proprietary ontology frameworks, and unparalleled security clearances [2].

Core Platforms

Palantir's ecosystem consists of four primary platforms:

1. **Gotham:** The original platform built for the defense and intelligence communities. It enables multi-intelligence fusion and mission planning. Recently, the Pentagon expanded its use of Palantir's Maven AI into a core long-term military program, significantly expanding the Total Addressable Market (TAM) in the defense sector [2].
2. **Foundry:** The commercial equivalent of Gotham, designed for enterprise integration, analytics, and workflows. It utilizes a digital twin testing environment (Ontology) to help organizations optimize operations and uncover hidden patterns [2].
3. **Artificial Intelligence Platform (AIP):** The key growth driver for the company. AIP is the application layer for generative AI, allowing enterprises to integrate third-party Large Language Models (LLMs) with their proprietary data securely. Palantir employs a unique "bootcamp" go-to-market strategy, taking clients from zero to a working use case in five days [2].
4. **Apollo:** The foundational continuous integration and continuous delivery (CI/CD) layer that automates software package building and deployment across all environments [2].

Industry & Competitive Landscape

The enterprise AI software market is experiencing rapid expansion, projected to grow from $386billionin2026tonearly1$ trillion by 2030, representing a CAGR of over 26% [2]. Within this landscape, Palantir occupies a distinct niche at the application and operational layer, rather than competing directly at the infrastructure or foundational model level.

Competitive Positioning

Palantir faces competition from several distinct categories of enterprise software providers:

- **Data Infrastructure:** Databricks and Snowflake compete for enterprise data budgets but serve fundamentally different users. While Databricks focuses on data engineering and machine learning infrastructure, Palantir targets operational decision-makers and business logic execution [2].
- **Enterprise AI Applications:** C3.ai represents a direct competitor in the enterprise AI application space, though Palantir has significantly outpaced it in recent quarters regarding revenue growth and profitability [2].
- **Workflow Automation:** ServiceNow is increasingly competing with Palantir to define the future of enterprise software and AI platform positioning [2].

Palantir's primary competitive advantage lies in its dual government and commercial presence, its proprietary ontology framework, and the high switching costs associated with its deep integration into core operational workflows. However, critics, including notable investor Michael Burry, have argued that Palantir's moat is largely based on "obstruction of data transfer" or vendor lock-in [2].

Financial Analysis

Palantir's financial performance in FY2025 was extraordinary, characterized by accelerating top-line growth and expanding margins.

Revenue and Growth

Total revenue for FY2025 reached $4.475 billion, a 561.465 billion [1]. In Q4 2025 alone, U.S. commercial revenue surged 137% year-over-year, validating the success of the AIP bootcamp strategy [1]. The company has issued strong guidance for FY2026, projecting revenue between $7.182 billion and 7.198 billion (approximately 61% YoY growth) [1].

Revenue Segment ($M)	FY2024	FY2025	YoY Growth
U.S. Commercial	701	1,465	+109%
U.S. Government	1,197	1,855	+55%
Total Revenue	2,866	4,475	+56%

Profitability and Cash Flow

Palantir has successfully transitioned into a highly profitable enterprise. Gross margins expanded to 82.4% in FY2025, up from 80.3% in FY2024 [1]. GAAP operating margin reached 31.6%, while adjusted operating margin (which excludes stock-based compensation) hit 50% [1].

The company generated $2.13 billion in operating cash flow and 2.27 billion in adjusted free cash flow (a 51% margin) in FY2025 [1]. Stock-based compensation (SBC) remains a notable expense at $684 million for the year, though it has declined as a percentage of total revenue from 24.1% in 2024 to 15.3% in 2025 [1].

Valuation & Modeling

We conducted a Discounted Cash Flow (DCF) analysis and a Comparable Company Analysis to assess Palantir's intrinsic value.

Discounted Cash Flow (DCF) Analysis

Our 10-year DCF model projects revenue growing to $24.6 billion by 2035, with free cash flow margins stabilizing around 4373.5 billion. Adding net cash of $7.2 billion yields an equity value of 80.7 billion.

Dividing by 2.57 billion diluted shares outstanding, the **DCF implied price is $31.37 per share**.

Reverse-engineering the current market price of ~$155 reveals that the market is pricing in a WACC of approximately 5.87% against our aggressive growth assumptions, indicating that the stock is priced for absolute perfection with zero margin of safety.

Comparable Company Analysis

Palantir trades at a massive premium to its enterprise software peers across all relevant multiples.

Company	Ticker	EV/Revenue	EV/EBITDA	P/E
Palantir	**PLTR**	**68.4x**	**134.0x**	**246.0x**
Datadog	DDOG	16.4x	65.0x	313.0x
CrowdStrike	CRWD	22.7x	75.0x	95.0x
ServiceNow	NOW	18.7x	60.0x	62.0x
Snowflake	SNOW	17.2x	N/A	N/A
Peer Median		**17.9x**	**67.5x**	**78.5x**

Applying the peer median EV/Revenue multiple of ~18x to Palantir's projected 2026 revenue of $7.19 billion implies a share price close to 53.00, further corroborating the fundamental overvaluation.

Risks & Catalysts

Bull Case Catalysts

- **AIP Commercial Acceleration:** Continued hyper-growth in U.S. commercial revenue driven by AIP adoption and bootcamp conversions.
- **Defense Spending:** Expanding scope of the Pentagon Maven AI program and increased NATO defense budgets amid geopolitical tensions.
- **Operating Leverage:** Continued margin expansion and free cash flow generation as the business scales.

Bear Case Risks

- **Extreme Valuation:** The primary risk is the valuation multiple. Any slight miss in quarterly earnings or guidance could trigger a severe multiple compression.
- **Insider Selling:** Insiders have sold approximately $292 million worth of stock over a recent 30-day period, with zero insider purchases recorded over the past six months [3]. This heavy selling pressure at current valuations is a red flag.
- **Competition:** Increased focus on AI applications from well-capitalized competitors like Databricks, Snowflake, and Microsoft could pressure margins and growth rates over the long term.

Conclusion

Palantir is arguably executing better than any other enterprise software company in the market today, successfully monetizing the generative AI application layer while maintaining exceptional profitability. However, at ~70x forward revenue, the stock's valuation has decoupled from fundamental reality. We recommend holding existing positions to capture momentum, but strongly advise against initiating new long positions at current levels.

References

[1] Palantir Technologies Inc. (2026). *Q4 2025 Earnings Release*. SEC EDGAR Database. Link
[2] Stock Market Nerd. (2026). *Palantir Q4 2025 Earnings Review*. Link
[3] Benzinga. (2026). *Palantir Technologies Insider Trading Activity*. Link